

PROPOSED
SENATE AMENDMENTS TO S.B. 1504
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 38-842, Arizona Revised Statutes, is amended to
3 read:

4 38-842. Definitions

5 In this article, unless the context otherwise requires:

6 1. "Accidental disability" means a physical or mental condition
7 that the local board finds totally and permanently prevents an employee
8 from performing a reasonable range of duties within the employee's job
9 classification and that was incurred in the performance of the employee's
10 duty.

11 2. "Accumulated contributions" means, for each member, the sum of
12 the amount of the member's aggregate contributions made to the fund and
13 the amount, if any, attributable to the employee's contributions before
14 the member's effective date under another public retirement system, other
15 than the federal social security act, and transferred to the fund minus
16 the benefits paid to or on behalf of the member.

17 3. "Actuarial equivalent" means equality in present value of the
18 aggregate amounts expected to be received under two different forms of
19 payment, based on mortality and interest assumptions adopted by the board.

20 4. "Alternate payee" means the spouse or former spouse of a
21 participant as designated in a domestic relations order.

22 5. "Alternate payee's portion" means benefits that are payable to
23 an alternate payee pursuant to a plan approved domestic relations order.

24 6. "Annuitant" means a person who is receiving a benefit pursuant
25 to section 38-846.01.

26 7. "Average monthly benefit compensation" means the result obtained
27 by dividing the total compensation paid to an employee during a considered
28 period by the number of months, including fractional months, in which such

1 compensation was received. For an employee who becomes a member of the
2 system:

3 (a) Before January 1, 2012, the considered period shall be the
4 three consecutive years within the last twenty completed years of credited
5 service that yield the highest average. In the computation under this
6 subdivision, a period of nonpaid or partially paid industrial leave shall
7 be considered based on the compensation the employee would have received
8 in the employee's job classification if the employee was not on industrial
9 leave.

10 (b) On or after January 1, 2012 and before July 1, 2017, the
11 considered period is the five consecutive years within the last twenty
12 completed years of credited service that yield the highest average. In
13 the computation under this subdivision, a period of nonpaid or partially
14 paid industrial leave shall be considered based on the compensation the
15 employee would have received in the employee's job classification if the
16 employee was not on industrial leave.

17 (c) On or after July 1, 2017, the considered period is the five
18 consecutive years within the last fifteen completed years of credited
19 service that yield the highest average. In the computation under this
20 subdivision, a period of nonpaid or partially paid industrial leave shall
21 be considered based on the compensation the employee would have received
22 in the employee's job classification if the employee was not on industrial
23 leave.

24 8. "Board" means the board of trustees of the system, who are the
25 persons appointed to invest and operate the fund.

26 9. "Catastrophic disability" means a physical and not a
27 psychological condition that the local board determines prevents the
28 employee from totally and permanently engaging in any gainful employment
29 and that results from a physical injury incurred in the performance of the
30 employee's duty.

31 10. "Certified peace officer" means a peace officer certified by
32 the Arizona peace officer standards and training board.

33 11. "Claimant" means any member or beneficiary who files an
34 application for benefits pursuant to this article.

35 12. "Compensation" means, for the purpose of computing retirement
36 benefits, base salary, overtime pay, shift differential pay, military
37 differential wage pay, compensatory time used by an employee in lieu of
38 overtime not otherwise paid by an employer and holiday pay paid to an
39 employee by the employer for the employee's performance of services in an
40 eligible group on a regular monthly, semimonthly or biweekly payroll basis
41 and longevity pay paid to an employee at least every six months for which
42 contributions are made to the system pursuant to section 38-843,
43 subsection D. Compensation does not include, for the purpose of computing
44 retirement benefits, payment for unused sick leave, payment in lieu of
45 vacation, payment for unused compensatory time or payment for any fringe

1 benefits. In addition, compensation does not include, for the purpose of
2 computing retirement benefits, payments made directly or indirectly by the
3 employer to the employee for work performed for a third party on a
4 contracted basis or any other type of agreement under which the third
5 party pays or reimburses the employer for the work performed by the
6 employee for that third party, except for third-party contracts between
7 public agencies for law enforcement, criminal, traffic and crime
8 suppression activities training or fire, wildfire, emergency medical or
9 emergency management activities or where the employer supervises the
10 employee's performance of law enforcement, criminal, traffic and crime
11 suppression activities training or fire, wildfire, emergency medical or
12 emergency management activities. For the purposes of this paragraph,
13 "base salary" means the amount of compensation each employee is regularly
14 paid for personal services rendered to an employer before the addition of
15 any extra monies, including overtime pay, shift differential pay, holiday
16 pay, longevity pay, fringe benefit pay and similar extra payments.

17 13. "Credited service":

18 (a) Means the member's total period of service before the member's
19 effective date of participation, plus those compensated periods of the
20 member's service thereafter for which the member made contributions to the
21 fund.

22 (b) Includes those compensated periods of the member's part-time
23 service, calculated on a pro rata basis, during which the member made
24 contributions to the fund.

25 14. "Cure period" means the ninety-day period in which a
26 participant or alternate payee may submit an amended domestic relations
27 order and request a determination, calculated from the time the system
28 issues a determination finding that a previously submitted domestic
29 relations order did not qualify as a plan approved domestic relations
30 order.

31 15. "Depository" means a bank in which all monies of the system are
32 deposited and held and from which all expenditures for benefits, expenses
33 and investments are disbursed.

34 16. "Determination" means a written document that indicates to a
35 participant and alternate payee whether a domestic relations order
36 qualifies as a plan approved domestic relations order.

37 17. "Determination period" means the ninety-day period in which the
38 system must review a domestic relations order that is submitted by a
39 participant or alternate payee to determine whether the domestic relations
40 order qualifies as a plan approved domestic relations order, calculated
41 from the time the system mails a notice of receipt to the participant and
42 alternate payee.

43 18. "Direct rollover" means a payment by the system to an eligible
44 retirement plan that is specified by the distributee.

1 19. "Distributee" means a member, a member's surviving spouse or a
2 member's spouse or former spouse who is the alternate payee under a plan
3 approved domestic relations order.

4 20. "Domestic relations order" means an order of a court of this
5 state that is made pursuant to the domestic relations laws of this state
6 and that creates or recognizes the existence of an alternate payee's right
7 to, or assigns to an alternate payee the right to, receive a portion of
8 the benefits payable to a participant.

9 21. "Effective date of participation" means July 1, 1968, except
10 with respect to employers and their covered employees whose contributions
11 to the fund commence thereafter, the effective date of their participation
12 in the system is as specified in the applicable joinder agreement.

13 22. "Effective date of vesting" means the date a member's rights to
14 benefits vest pursuant to section 38-844.01.

15 23. "Eligible child" means an unmarried child of a deceased member
16 or retired member who meets one of the following qualifications:

17 (a) Is under eighteen years of age.

18 (b) Is at least eighteen years of age and under twenty-three years
19 of age only during any period that the child is a full-time student.

20 (c) Is under a disability that began before the child attained
21 twenty-three years of age and remains a dependent of the surviving spouse
22 or guardian.

23 24. "Eligible groups" means only the following who are regularly
24 assigned to hazardous duty:

25 (a) Municipal police officers who are certified peace officers.

26 (b) Municipal firefighters.

27 (c) Paid full-time firefighters employed directly by a fire
28 district organized pursuant to section 48-803 or 48-804 or a joint powers
29 authority pursuant to section 48-805.01 with three or more full-time
30 firefighters, but not including firefighters employed by a fire district
31 pursuant to a contract with a corporation.

32 (d) State highway patrol officers who are certified peace officers.

33 (e) State firefighters.

34 (f) County sheriffs and deputies who are certified peace officers.

35 (g) Game and fish wardens who are certified peace officers.

36 (h) Police officers who are certified peace officers and
37 firefighters of a nonprofit corporation operating a public airport
38 pursuant to sections 28-8423 and 28-8424. A police officer shall be
39 designated pursuant to section 28-8426 to aid and supplement state and
40 local law enforcement agencies and a firefighter's sole duty shall be to
41 perform firefighting services, including services required by federal
42 regulations.

43 (i) Police officers who are certified peace officers and who are
44 appointed by the Arizona board of regents.

1 (j) Police officers who are certified peace officers and who are
2 appointed by a community college district governing board.

3 (k) State attorney general investigators who are certified peace
4 officers.

5 (l) County attorney investigators who are certified peace officers.

6 (m) Police officers who are certified peace officers and who are
7 employed by an Indian reservation police agency.

8 (n) Firefighters who are employed by an Indian reservation
9 firefighting agency.

10 (o) Department of liquor licenses and control investigators who are
11 certified peace officers.

12 (p) Arizona department of agriculture officers who are certified
13 peace officers.

14 (q) Arizona state parks board rangers and managers who are
15 certified peace officers.

16 (r) County park rangers who are certified peace officers.

17 (s) Game rangers who are certified peace officers and who are
18 employed by an Indian reservation.

19 25. "Eligible retirement plan" means any of the following that
20 accepts a distributee's eligible rollover distribution:

21 (a) An individual retirement account described in section 408(a) of
22 the internal revenue code.

23 (b) An individual retirement annuity described in section 408(b) of
24 the internal revenue code.

25 (c) An annuity plan described in section 403(a) of the internal
26 revenue code.

27 (d) A qualified trust described in section 401(a) of the internal
28 revenue code.

29 (e) An annuity contract described in section 403(b) of the internal
30 revenue code.

31 (f) An eligible deferred compensation plan described in section
32 457(b) of the internal revenue code that is maintained by a state, a
33 political subdivision of a state or any agency or instrumentality of a
34 state or a political subdivision of a state and that agrees to separately
35 account for amounts transferred into the eligible deferred compensation
36 plan from this plan.

37 (g) A Roth individual retirement account that satisfies the
38 requirements of section 408A of the internal revenue code.

39 (h) For distributions made after December 18, 2015, a simple
40 retirement account as defined in section 408(p) of the internal revenue
41 code.

42 26. "Eligible rollover distribution" means a payment to a
43 distributee, but does not include any of the following:

44 (a) Any distribution that is one of a series of substantially equal
45 periodic payments made not less frequently than annually for the life or

1 life expectancy of the member or the joint lives or joint life
2 expectancies of the member and the member's beneficiary or for a specified
3 period of ten years or more.

4 (b) Any distribution to the extent the distribution is required
5 under section 401(a)(9) of the internal revenue code.

6 (c) The portion of any distribution that may not be included in
7 gross income.

8 (d) Any distribution made to satisfy the requirements of section
9 415 of the internal revenue code.

10 (e) Hardship distributions.

11 (f) Similar items designated by the commissioner of the United
12 States internal revenue service in revenue rulings, notices and other
13 guidance published in the internal revenue bulletin.

14 27. "Employee" means any person who is employed by a participating
15 employer and who is a member of an eligible group but does not include any
16 persons compensated on a contractual or fee basis. If an eligible group
17 requires certified peace officer status or firefighter certification and
18 at the option of the local board, employee may include a person who is
19 training to become a certified peace officer or firefighter.

20 28. "Employers" means:

21 (a) Cities contributing to the fire fighters' relief and pension
22 fund as provided in sections 9-951 through 9-973 or statutes amended
23 thereby and antecedent thereto, as of June 30, 1968 on behalf of their
24 full-time paid firefighters.

25 (b) Cities contributing under the state police pension laws as
26 provided in sections 9-911 through 9-934 or statutes amended thereby and
27 antecedent thereto, as of June 30, 1968 on behalf of their municipal
28 policemen.

29 (c) The state highway patrol covered under the state highway patrol
30 retirement system.

31 (d) The state, or any political subdivision of this state,
32 including towns, cities, fire districts, joint powers authorities,
33 counties and nonprofit corporations operating public airports pursuant to
34 sections 28-8423 and 28-8424, that has elected to participate in the
35 system on behalf of an eligible group of public safety personnel pursuant
36 to a joinder agreement entered into after July 1, 1968.

37 (e) Indian tribes that have elected to participate in the system on
38 behalf of an eligible group of public safety personnel pursuant to a
39 joinder agreement entered into after July 1, 1968.

40 29. "Fund" means the public safety personnel retirement fund, which
41 is the fund established to receive and invest contributions accumulated
42 under the system and from which benefits are paid.

43 30. "Local board" means the retirement board of the employer, who
44 are the persons appointed to administer the system as it applies to their
45 members in the system.

1 31. "Member":

2 (a) Means any full-time employee who meets all of the following
3 qualifications:

4 (i) Who is either a paid municipal police officer, a paid
5 firefighter, a law enforcement officer who is employed by this state
6 including the director thereof, a state firefighter who is primarily
7 assigned to firefighting duties, a firefighter or police officer of a
8 nonprofit corporation operating a public airport pursuant to sections
9 28-8423 and 28-8424, all ranks designated by the Arizona law enforcement
10 merit system council, a state attorney general investigator who is a
11 certified peace officer, a county attorney investigator who is a certified
12 peace officer, a department of liquor licenses and control investigator
13 who is a certified peace officer, an Arizona department of agriculture
14 officer who is a certified peace officer, an Arizona state parks board
15 ranger or manager who is a certified peace officer, a county park ranger
16 who is a certified peace officer, a person who is a certified peace
17 officer and who is employed by an Indian reservation police agency, a game
18 ranger who is a certified peace officer and who is employed by an Indian
19 reservation, a firefighter who is employed by an Indian reservation
20 firefighting agency or an employee included in a group designated as
21 eligible employees under a joinder agreement entered into by their
22 employer after July 1, 1968 and who is or was regularly assigned to
23 hazardous duty or, beginning retroactively to January 1, 2009, who is a
24 police chief or a fire chief.

25 (ii) Who, on or after the employee's effective date of
26 participation, is receiving compensation for personal services rendered to
27 an employer or would be receiving compensation except for an authorized
28 leave of absence.

29 (iii) Whose customary employment is at least forty hours per week
30 or, for those employees who customarily work fluctuating workweeks, whose
31 customary employment averages at least forty hours per week.

32 (iv) Who is engaged to work for more than six months in a calendar
33 year.

34 (v) Who, if economic conditions exist, is required to take furlough
35 days or reduce the hours of the employee's normal workweek below forty
36 hours but not less than thirty hours per pay cycle, and maintain the
37 employee's active member status within the system as long as the hour
38 change does not extend beyond twelve consecutive months.

39 (vi) Who has not attained age sixty-five before the employee's
40 effective date of participation or who was over age sixty-five with
41 twenty-five years or more of service prior to the employee's effective
42 date of participation.

43 (b) Beginning from and after June 30, 2026, includes any part-time
44 employee whose employer has chosen to allow part-time employees to
45 participate in the system and to whom all of the following apply:

1 (i) Is hired in an eligible group as defined in paragraph 24,
2 subdivision (a), (d) or (f) of this section.

3 (ii) Has at least three years of credited service in either the
4 system or the public safety personnel defined contribution retirement plan
5 established pursuant to article 4.1 of this chapter before the employee is
6 hired as a part-time employee for the purposes of this subdivision.

7 (iii) Is engaged to work as a patrol officer and is scheduled to
8 work for at least twenty hours per week but not more than thirty hours per
9 week following a consistent schedule, as determined by the employer.

10 (iv) Meets the requirements of section 38-842.03.

11 (c) Does not include an employee who is hired on or after July 1,
12 2017, who makes the irrevocable election to participate solely in the
13 public safety personnel defined contribution retirement plan established
14 pursuant to article 4.1 of this chapter and who was not an active, an
15 inactive or a retired member of the system or a member of the system with
16 a disability on June 30, 2017.

17 32. "Normal retirement date" means:

18 (a) For an employee who becomes a member of the system before
19 January 1, 2012, the first day of the calendar month immediately following
20 the employee's completion of twenty years of service or the employee's
21 sixty-second birthday and the employee's completion of fifteen years of
22 service.

23 (b) For an employee who becomes a member of the system on or after
24 January 1, 2012 and before July 1, 2017, the first day of the calendar
25 month immediately following the employee's completion of either:

26 (i) Twenty-five years of service. ~~or~~

27 (ii) Fifteen years of credited service if the employee is at least
28 fifty-two and one-half years of age.

29 (c) For an employee who becomes a member of the system on or after
30 July 1, 2017, the first day of the calendar month immediately following
31 the employee's completion of EITHER:

32 (i) TWENTY-FIVE YEARS OF SERVICE.

33 (ii) Fifteen years of credited service if the employee is at least
34 fifty-five years of age.

35 33. "Notice of receipt" means a written document that is issued by
36 the system to a participant and alternate payee and that states that the
37 system has received a domestic relations order and a request for a
38 determination that the domestic relations order is a plan approved
39 domestic relations order.

40 34. "Ordinary disability" means a physical condition that the local
41 board determines will prevent an employee totally and permanently from
42 performing a reasonable range of duties within the employee's department
43 or a mental condition that the local board determines will prevent an
44 employee totally and permanently from engaging in any substantial gainful
45 activity.

1 35. "Participant" means a member who is subject to a domestic
2 relations order.

3 36. "Participant's portion" means benefits that are payable to a
4 participant pursuant to a plan approved domestic relations order.

5 37. "Pension" means a series of monthly amounts that are payable to
6 a person who is entitled to receive benefits under the plan but does not
7 include an annuity that is payable pursuant to section 38-846.01.

8 38. "Personal representative" means the personal representative of
9 a deceased alternate payee.

10 39. "Physician" means a physician who is licensed pursuant to title
11 32, chapter 13 or 17.

12 40. "Plan approved domestic relations order" means a domestic
13 relations order that the system approves as meeting all the requirements
14 for a plan approved domestic relations order as otherwise prescribed in
15 this article.

16 41. "Plan year" or "fiscal year" means the period beginning on
17 July 1 of any year and ending on June 30 of the next succeeding year.

18 42. "Regularly assigned to hazardous duty" means regularly assigned
19 to duties of the type normally expected of municipal police officers,
20 municipal or state firefighters, eligible fire district firefighters,
21 state highway patrol officers, county sheriffs and deputies, fish and game
22 wardens, firefighters and police officers of a nonprofit corporation
23 operating a public airport pursuant to sections 28-8423 and 28-8424,
24 police officers who are appointed by the Arizona board of regents or a
25 community college district governing board, state attorney general
26 investigators who are certified peace officers, county attorney
27 investigators who are certified peace officers, department of liquor
28 licenses and control investigators who are certified peace officers,
29 Arizona department of agriculture officers who are certified peace
30 officers, Arizona state parks board rangers and managers who are certified
31 peace officers, county park rangers who are certified peace officers,
32 police officers who are certified peace officers and who are employed by
33 an Indian reservation police agency, firefighters who are employed by an
34 Indian reservation firefighting agency or game rangers who are certified
35 peace officers and who are employed by an Indian reservation. Those
36 individuals who are assigned solely to support duties such as secretaries,
37 stenographers, clerical personnel, clerks, cooks, maintenance personnel,
38 mechanics and dispatchers are not assigned to hazardous duty regardless of
39 their position classification title. Since the normal duties of those
40 jobs described in this paragraph are constantly changing, questions as to
41 whether a person is or was previously regularly assigned to hazardous duty
42 shall be resolved by the local board on a case-by-case basis. Resolutions
43 by local boards are subject to rehearing and appeal.

1 43. "Retirement" or "retired" means termination of employment after
2 a member has fulfilled all requirements for a pension, for an employee who
3 becomes a member of the system on or after January 1, 2012 and before
4 July 1, 2017, attains the SERVICE REQUIREMENTS OR THE age and CREDITED
5 service requirements for a normal retirement date or for an employee who
6 becomes a member of the system on or after July 1, 2017 attains the
7 SERVICE REQUIREMENTS OR THE age and credited service requirements for a
8 normal retirement date. Retirement shall be considered as commencing on
9 the first day of the month immediately following a member's last day of
10 employment or authorized leave of absence, if later.

11 44. "Segregated funds" means the amount of benefits that would
12 currently be payable to an alternate payee pursuant to a domestic
13 relations order under review by the system, or a domestic relations order
14 submitted to the system that failed to qualify as a plan approved domestic
15 relations order, if the domestic relations order were determined to be a
16 plan approved domestic relations order.

17 45. "Service" means the last period of continuous employment of an
18 employee by the employers before the employee's retirement, except that if
19 such period includes employment during which the employee would not have
20 qualified as a member had the system then been effective, such as
21 employment as a volunteer firefighter, then only twenty-five percent of
22 such noncovered employment shall be considered as service. Any absence
23 that is authorized by an employer shall not be considered as interrupting
24 continuity of employment if the employee returns within the period of
25 authorized absence. Transfers between employers also shall not be
26 considered as interrupting continuity of employment. Any period during
27 which a member is receiving sick leave payments or a temporary disability
28 pension shall be considered as service. Notwithstanding any other
29 provision of this paragraph, any period during which a person was employed
30 as a full-time paid firefighter for a corporation that contracted with an
31 employer to provide firefighting services on behalf of the employer shall
32 be considered as service if the employer has elected at its option to
33 treat part or all of the period the firefighter worked for the company as
34 service in its applicable joinder agreement. Any reference in this system
35 to the number of years of service of an employee shall be deemed to
36 include fractional portions of a year.

37 46. "State" means the state of Arizona, including any department,
38 office, board, commission, agency or other instrumentality of this state.

39 47. "System" means the public safety personnel retirement system
40 established by this article.

41 48. "Temporary disability" means a physical or mental condition
42 that the local board finds totally and temporarily prevents an employee
43 from performing a reasonable range of duties within the employee's
44 department and that was incurred in the performance of the employee's
45 duty.

1 Sec. 2. Section 38-846.01, Arizona Revised Statutes, is amended to
2 read:

3 38-846.01. Deferred annuity; exception

4 A. If any member who has at least ten years of credited service
5 terminates employment for reasons other than retirement or disability, the
6 member may elect to receive a deferred annuity, except that if the
7 annuitant withdraws all or part of the annuitant's accumulated
8 contributions in the system all rights in and to a deferred annuity shall
9 be forfeited by the annuitant. A deferred annuity is a lifetime monthly
10 payment actuarially equivalent to the annuitant's accumulated
11 contributions in the system plus an equal amount paid by the employer and
12 shall commence on application on or after the sixty-second birthday of the
13 annuitant. The annuity is not a retirement benefit and annuitants are not
14 entitled to receive any amount prescribed by section 38-845, subsection G
15 or section 38-846, 38-856.05 or 38-857.

16 B. This section does not apply to a member who becomes a member of
17 the system on or after January 1, 2012. For a member who is hired on or
18 after January 1, 2012 and before July 1, 2017, a member who attains a
19 normal retirement date is eligible for retirement and a retirement benefit
20 even if the member terminates employment with an employer before the age
21 requirement for normal retirement if the member attains the service
22 requirement for normal retirement. For a member who is hired on or after
23 July 1, 2017, a member who attains a normal retirement date is eligible
24 for retirement and a retirement benefit even if the member terminates
25 employment with an employer before the age requirement for normal
26 retirement if the member attains the credited service requirement for
27 normal retirement. Once a member described in this subsection reaches the
28 normal retirement ~~age~~ DATE, the member may receive payments made under
29 section 38-845.

30 Sec. 3. Section 38-856.06, Arizona Revised Statutes, is amended to
31 read:

32 38-856.06. Cost-of-living adjustment; members hired on or
33 after July 1, 2017; definition

34 A. For members who are hired on or after July 1, 2017, each
35 eligible retired member or survivor of a retired member may receive a
36 compounding cost-of-living adjustment in the base benefit as provided in
37 this section.

38 B. A retired member or survivor of a retired member is eligible to
39 receive a cost-of-living adjustment under this section beginning the
40 earlier of the first calendar year after the ~~seventh~~ THIRD anniversary of
41 the retired member's retirement or when the retired member is or would
42 have been sixty years of age.

43 C. A cost-of-living adjustment shall be paid on July 1 each year
44 that the funded ratio for members who are hired on or after July 1, 2017

1 is seventy percent or more, as reported in the most recent actuarial
2 valuation.

3 D. An eligible retired member or survivor of a retired member shall
4 receive annually a cost-of-living adjustment in the base benefit based on
5 the average annual percentage change in the metropolitan Phoenix-Mesa
6 consumer price index published by the United States department of labor,
7 bureau of labor statistics, with the immediately preceding year as the
8 base year for making the determination, not to exceed annually the
9 following:

10 1. Two percent of the retired member's or survivor's base benefit
11 if the funded ratio for members who are hired on or after July 1, 2017 is
12 ninety percent or more, as reported in the most recent actuarial
13 valuation.

14 2. One and one-half percent of the retired member's or survivor's
15 base benefit if the funded ratio for members who are hired on or after
16 July 1, 2017 is eighty percent or more but less than ninety percent, as
17 reported in the most recent actuarial valuation.

18 3. One percent of the retired member's or survivor's base benefit
19 if the funded ratio for members who are hired on or after July 1, 2017 is
20 seventy percent or more but less than eighty percent, as reported in the
21 most recent actuarial valuation.

22 E. The system actuary shall include the projected cost of providing
23 the cost-of-living adjustment specified in subsection D of this section in
24 the calculation of normal cost and accrued liability.

25 F. For the purposes of this section, "funded ratio" means the ratio
26 of the market value of assets to the actual accrued liabilities.

27 <<Sec. 4. Benefit increases; payment; exception

28 [Section 38-861, Arizona Revised Statutes, does not apply to
29 sections 38-842, 38-846.01 and 38-856.06, Arizona Revised Statutes, as
30 amended by this act.]>>

31 Enroll and engross to conform

32 Amend title to conform

JOHN KAVANAGH

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